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Inovance Technology (A)

2Q26 in line; solid growth from general automation; reiterate Buy

Reiterate Rating: BUY | PO: 85.0 CNY | Price: 61.87 CNY

2Q26 earnings +9% YoY; in line

Inovance held its 2Q26 results briefing on 31 August. Its 2Q26 revenue came in at RMB14.5bn, +26% YoY/+43% QoQ, in line with its preliminary results announcement. GPM was 30.2% in 2Q26, up 0.6ppt YoY and 1.1ppt QoQ, above our estimate of 29.5%. Its operating income came in at RMB2.1bn, +44% YoY/+95% QoQ. Its 2Q26 net income was RMB1.8bn, up 9% YoY and 77% QoQ, in line with our forecast and its preliminary results (RMB1.8bn). Its NPM in 2Q26 was 12.2%, down from 14.4% in 2Q25, mainly dragged by the cost pressure of key materials (copper/aluminum/rare earth/ capacitor/power semi etc.) and the profitability pressure of EV component.

General automation solid growth; EV component weak

By sector, Inovance's general automation business grew 48% YoY in 2Q26, vs. the overall China FA market's up 8.0% YoY, mainly supported by: (1) its higher exposure to 3C/battery/machine tool/HVAC sector with higher growth in 2Q26; and (2) its continued market-share gain in servo/inverter/PLC. Revenue from servo/inverter/PLC was up 48%/36%/88% YoY in 2Q26. EV components revenue was flattish YoY at RMB5.2bn in 2Q26, dragged by the weak sales of its large customers. In 1H26, revenue from the overseas market was RMB1.6bn, +24% YoY, accounting for 7% of its revenue. Inovance has implemented multiple rounds of price hike for its general automation products in 1H26, and targets to continue raising its product price in 2H26. Inovance maintains its 2026 sales target of up 10-30% YoY and net profit target of up 10-30% YoY.

New PO at RMB85; reiterate Buy

We factor in the 2Q26 results and raise our 2026/27/28E earnings by 2%/4%/2%, mainly on higher sales expectations of its general automation business. We derive our new PO of RMB85 (was RMB91) from the average of P/E and DCF valuations, with 35x 2H26-1H27E P/E (see details inside). We reiterate Buy on Inovance, given the market-share gain in its key products, including inverter, servo, PLC, and industrial robot amid the FA upcycle, as well as its potential in industrial AI and humanoid robot.

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	4,285	5,050	6,003	7,100	8,451
EPS	1.59	1.87	2.22	2.62	3.12
EPS Change (YoY)	-10.2%	17.2%	18.8%	18.3%	19.0%
Consensus EPS (Visible Alpha)			2.18	2.70	3.24
Dividend / Share	0.41	0.50	0.55	0.66	0.78
Free Cash Flow / Share	1.89	1.35	0.43	1.79	2.19
Valuation (Dec)					
P/E	38.9x	33.2x	27.9x	23.6x	19.8x
Dividend Yield	0.7%	0.8%	0.9%	1.1%	1.3%
EV / EBITDA*	32.4x	26.2x	20.1x	16.5x	13.5x
Free Cash Flow Yield*	3.1%	2.2%	0.7%	3.0%	3.6%

* For full definitions of IQmethod℠ measures, see page 10.

31 August 2026

Equity

Key Changes

(CNY)	Previous	Current
Price Obj.	91	85
2027E EPS	2.5	2.6
2026E EBITDA (m)	7,818	8,193
2027E EBITDA (m)	9,405	9,975
2028E EBITDA (m)	11,679	12,162

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Stock Data

Price	61.87 CNY
Price Objective	85.0 CNY
Date Established	31-Aug-2026
Investment Opinion	B-1-7
52-Week Range	57.32 CNY-91.00 CNY
Mrkt Val / Shares Out (mn)	24,259 USD / 2,635.1
Market Value (mn)	163,034 CNY
Average Daily Value (mn)	242.00 USD
Free Float	61.8%
BofA Ticker / Exchange	XMYRF / SHZ
Bloomberg / Reuters	300124 CH / 300124.SZ
ROE (2026E)	15.9%
Net Dbt to Eqty (Dec-2025A)	-9.0%

FA: factory automation
EV: electric vehicle
PLC: programmable logic controller
3C: computer, communication, and consumer electronics
HVAC: heating, ventilation and air conditioning

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Timestamp: 31 August 2026 10:44AM EDT

iQprofile℠ Inovance Technology (A)

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(CNY Millions)					
Sales	37,041	45,105	53,028	61,567	71,471
Gross Profit	10,632	13,060	15,875	18,581	21,568
Sell General & Admin Expense	(3,022)	(3,361)	(3,856)	(4,413)	(5,018)
Operating Profit	4,232	5,171	6,855	8,233	9,753
Net Interest & Other Income	377	263	(132)	(236)	(146)
Associates	0	0	0	0	0
Pretax Income	4,609	5,433	6,723	7,997	9,606
Tax (expense) / Benefit	(262)	(261)	(639)	(792)	(995)
Net Income (Adjusted)	4,285	5,050	6,003	7,100	8,451
Average Fully Diluted Shares Outstanding	2,692	2,707	2,708	2,708	2,708
Key Cash Flow Statement Data					
Net Income	4,285	5,050	6,003	7,100	8,451
Depreciation & Amortization	850	1,117	1,338	1,742	2,409
Change in Working Capital	2,004	392	(4,264)	(2,099)	(3,082)
Deferred Taxation Charge	0	0	0	0	0
Other Adjustments, Net	61	123	81	105	160
Cash Flow from Operations	7,200	6,681	3,159	6,849	7,939
Capital Expenditure	(2,112)	(3,024)	(2,000)	(2,000)	(2,000)
(Acquisition) / Disposal of Investments	(8,624)	(2,560)	0	0	0
Other Cash Inflow / (Outflow)	186	48	0	0	0
Cash Flow from Investing	(10,551)	(5,536)	(2,000)	(2,000)	(2,000)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	(1,335)	(1,235)	(1,353)	(1,501)	(1,775)
Cash Flow from Financing	(1,833)	2,892	(1,353)	(1,501)	(1,775)
Free Cash Flow	5,088	3,657	1,159	4,849	5,939
Net Debt	597	(3,328)	(3,133)	(6,481)	(10,645)
Change in Net Debt	5,130	(4,498)	195	(3,348)	(4,164)
Key Balance Sheet Data					
Property, Plant & Equipment	8,021	11,079	11,988	12,751	13,365
Other Non-Current Assets	18,708	17,227	17,119	16,667	15,694
Trade Receivables	14,219	15,744	19,124	21,359	25,636
Cash & Equivalents	3,558	7,033	6,838	10,186	14,349
Other Current Assets	12,673	20,232	22,396	24,287	25,996
Total Assets	57,179	71,314	77,465	85,248	95,040
Long-Term Debt	2,874	1,572	1,572	1,572	1,572
Other Non-Current Liabilities	2,501	2,713	2,713	2,713	2,713
Short-Term Debt	1,281	2,132	2,132	2,132	2,132
Other Current Liabilities	22,093	27,762	29,182	31,261	34,217
Total Liabilities	28,750	34,180	35,600	37,679	40,635
Total Equity	28,429	37,135	41,865	47,569	54,405
Total Equity & Liabilities	57,179	71,314	77,465	85,248	95,040
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	11.5%	12.0%	13.4%	14.5%	15.2%
Return On Equity	16.3%	15.9%	15.9%	16.6%	17.3%
Operating Margin	11.4%	11.5%	12.9%	13.4%	13.6%
EBITDA Margin	13.7%	13.9%	15.5%	16.2%	17.0%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	1.7x	1.3x	0.5x	1.0x	0.9x
Asset Replacement Ratio	2.5x	2.7x	1.5x	1.1x	0.8x
Tax Rate (Reported)	5.7%	4.8%	9.5%	9.9%	10.4%
Net Debt-to-Equity Ratio	2.1%	-9.0%	-7.5%	-13.6%	-19.6%
Interest Cover	NA	NA	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 10.

Company Sector

Electronics

Company Description

Shenzhen Inovance Technology focuses on R&D, manufacture and sales of industrial automation control products, aiming to serve high-end equipment manufacturers. It was established in April 2003 and was listed on the SZSE in September 2010. The company is located in Shenzhen, China.

Investment Rationale

Inovance is a key beneficiary of the long-term industrial automation uptrend in China. We have Buy on it as 1) its key products like inverters, servo, PLC and robots all gain share in China thanks to superior cost to performance, 2) robust growth in EV component led by key clients' fast share gain, 3) major beneficiary of supportive policy measures from central government, and 4) potentials in industrial AI and robotics.

Stock Data

Price to Book Value	4.1x

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Continued market-share gain in general automation

In 2Q26, Inovance saw 37.2% market share in AC servo, up from 32.9% in 1Q26, ranking No. 1 in China. It also recorded 21.4% market share in low-voltage inverter, up from 19.9% in 1Q26, ranking No. 1 in China. In China's small PLC market, it ranked No.2 with a market share of 14.8% in 2Q26 (vs. 14.3% 1Q26). It also ranked No.3 in 2Q26 in medium-to-large PLC in China, with a market share of 7.2% (vs. 6.3% in 1Q26). Regarding China's industrial robot market, Inovance ranked No.3 in 2Q26 (8.7% market share vs. 9.7% in 1Q26).

Exhibit 1: Top 10 AC servo market share in China (by shipment)
Inovance's market share was 37.2% in 2Q26, ranking No.1 in China

	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26
Inovance	4.9%	6.2%	6.2%	10.7%	16.2%	22.4%	28.2%	27.4%	30.5%	32.9%	37.2%
Siemens	5.4%	5.8%	6.5%	6.5%	8.1%	13.8%	10.4%	9.7%	8.9%	9.1%	10.7%
Panasonic Industry	13.8%	10.8%	11.4%	10.6%	9.6%	7.8%	5.9%	7.1%	7.0%	6.0%	7.5%
Yaskawa Electric	13.5%	11.6%	11.0%	10.8%	10.5%	7.6%	8.4%	7.0%	6.8%	5.6%	5.8%
Leadshine	NA	NA	0.7%	1.1%	1.2%	1.7%	2.4%	3.3%	4.1%	4.3%	5.4%
Delta Electronics	7.8%	8.2%	9.0%	8.3%	7.5%	6.2%	5.9%	6.6%	6.4%	5.9%	5.2%
XINJE	0.9%	1.1%	1.4%	2.4%	2.2%	2.5%	3.2%	3.7%	4.1%	3.1%	4.6%
HCFA	1.3%	1.6%	1.9%	2.7%	2.8%	3.4%	4.1%	3.1%	3.2%	3.2%	3.8%
Mitsubishi	11.6%	12.0%	11.3%	10.0%	8.8%	7.5%	6.1%	5.9%	6.0%	7.1%	3.2%
Estun	NA	NA	NA	NA	NA	NA	2.4%	3.2%	3.0%	3.0%	2.8%

Source: MIR Databank, BofA Global Research

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Exhibit 2: Top 10 low-voltage inverter market share in China (by shipment)
Inovance's market share was 21.4% in 2Q26, ranking No.1 in China

	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26
Inovance	9.4%	10.9%	11.0%	11.6%	12.9%	14.9%	17.0%	18.6%	19.6%	19.9%	21.4%
ABB	13.3%	13.8%	14.6%	15.2%	15.1%	16.1%	17.8%	18.1%	17.8%	18.8%	17.2%
Siemens	12.2%	12.3%	13.1%	13.6%	14.5%	15.5%	15.0%	15.1%	14.9%	18.7%	12.9%
Danfoss	7.7%	7.6%	6.8%	6.2%	5.9%	5.7%	5.6%	5.7%	5.2%	5.3%	6.1%
Schneider	6.0%	6.0%	5.6%	6.5%	5.4%	4.7%	4.7%	5.0%	5.6%	4.6%	5.9%
Delta	4.1%	4.0%	3.6%	3.9%	4.2%	4.6%	4.5%	5.0%	5.0%	4.8%	5.7%
INVT	3.9%	4.2%	4.5%	3.7%	4.2%	4.4%	4.8%	5.1%	5.2%	4.1%	5.4%
VEICHI	1.4%	1.4%	1.6%	1.7%	1.8%	1.8%	2.4%	3.0%	3.4%	2.8%	3.9%
Mitsubishi	3.9%	3.7%	3.6%	3.5%	3.5%	2.9%	2.9%	2.5%	2.4%	3.2%	2.1%
Yaskawa	3.9%	3.7%	3.3%	3.0%	3.2%	2.9%	2.5%	2.4%	2.2%	2.1%	1.7%

Source: MIR Databank, BofA Global Research

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Exhibit 3: Top 9 small PLC market share in China (by shipment)
Inovance's market share was 14.8% in 2Q26, ranking No.2 in China

	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26
Siemens	33.4%	36.8%	36.7%	36.0%	23.0%	27.0%	28.0%	28.3%	29.9%	29.4%	29.6%
Inovance	2.4%	2.7%	2.9%	5.2%	5.0%	8.1%	10.9%	8.7%	9.3%	14.3%	14.8%
XINJE	4.2%	4.7%	5.5%	7.5%	8.0%	7.8%	8.9%	10.5%	10.8%	9.4%	11.7%
Delta	6.5%	6.5%	7.5%	7.7%	9.9%	7.1%	6.7%	7.0%	6.6%	5.5%	7.3%
Mitsubishi	14.4%	14.3%	14.1%	12.7%	15.8%	13.6%	11.6%	10.6%	10.6%	13.3%	7.0%
Omron	10.3%	9.4%	9.5%	8.7%	10.6%	8.8%	7.1%	6.5%	6.2%	5.0%	5.4%
Panasonic	6.1%	5.5%	5.0%	5.0%	6.7%	5.7%	4.9%	5.3%	5.0%	3.6%	5.1%
Schneider	3.1%	3.0%	3.1%	3.2%	4.2%	4.2%	4.3%	3.4%	3.3%	3.8%	2.9%
Leadshine	0%	0%	0%	0%	NA	NA	1.0%	1.8%	2.1%	2.1%	2%

Source: MIR Databank, BofA Global Research

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Exhibit 4: Top 8 medium- large PLC market share in China (by shipment)
Inovance's market share was 7.2% in 2Q26, ranking No.3 in China

	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26
Siemens	49.9%	52.6%	50.0%	48.6%	54.8%	56.0%	56.9%	47.8%	51.5%	51.7%	51.3%
Omron	11.8%	10.6%	10.6%	13.0%	9.8%	9.0%	8.1%	7.9%	7.6%	7.5%	9.7%
Inovance	0.0%	0.0%	0.0%	0.0%	1.7%	3.0%	3.4%	3.6%	3.9%	6.3%	7.2%
Mitsubishi	12.7%	12.5%	11.9%	12.2%	7.4%	5.9%	5.0%	6.1%	5.9%	7.4%	4.7%
Rockwell	8.4%	8.3%	9.4%	6.9%	4.3%	4.8%	5.5%	4.4%	4.2%	4.5%	3.9%
Keyence	0.0%	0.0%	0.0%	6.6%	4.3%	3.8%	3.2%	4.1%	3.9%	4.3%	3.9%
Schneider	4.5%	4.7%	5.7%	5.2%	2.8%	2.7%	3.0%	2.9%	2.7%	2.8%	2.3%
Delta	0.6%	0.5%	0.8%	1.2%	1.0%	1.2%	0.8%	1.1%	1.0%	0.8%	0.9%

Source: MIR Databank, BofA Global Research

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Exhibit 5: Top 10 industrial robot market share in China (by shipment)
Inovance's market share was 8.7% in 2Q26, ranking No.3 in China

	2017	2018	2019	2020	2021	2022	2023	2024	2025	1Q26	2Q26
Estun	1.7%	2.4%	2.4%	3.1%	4.1%	5.9%	8.5%	9.5%	10.0%	9.7%	9.9%
Kuka	9.9%	7.4%	8.0%	6.0%	7.7%	8.2%	7.4%	8.2%	9.6%	9.7%	9.8%
Inovance	0.8%	1.3%	1.9%	2.2%	4.0%	5.2%	6.5%	8.8%	8.4%	9.7%	8.7%
Fanuc	13.1%	13.0%	12.1%	13.9%	14.4%	15.3%	13.3%	10.9%	9.9%	9.0%	8.0%
Efort	1.4%	1.0%	1.5%	1.2%	2.0%	2.3%	4.3%	5.5%	4.8%	4.8%	6.3%
Epson	7.3%	6.8%	6.6%	9.7%	7.9%	6.4%	5.5%	5.4%	5.2%	5.0%	5.6%
ABB	12.1%	11.5%	11.0%	8.3%	8.8%	8.1%	6.0%	5.8%	6.0%	6.1%	4.1%
Yaskawa	8.3%	8.7%	7.9%	7.7%	8.5%	8.2%	6.8%	5.1%	4.7%	4.6%	3.5%
STEP Electric	2.9%	2.9%	2.4%	2.1%	2.4%	2.0%	2.5%	2.2%	2.4%	2.7%	2.5%
Yamaha	4.7%	4.5%	4.6%	5.8%	4.7%	3.9%	3.0%	2.6%	2.6%	2.3%	2.4%

Source: MIR Databank, BofA Global Research

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EV components under pressure in 2Q26

Inovance Automotive (301656 CH) recorded a net loss of RMB137mn in 2Q26, versus RMB49mn net income in 1Q26. This is dragged by: (1) weak sales of its large EV customers; (2) cost pressure of raw materials (wires/magnetic materials/aluminum/ power semi); and (3) a one-off supplementary tax payment of RMB120mn. Looking into passenger electric vehicle (PEV) controller market share, it ranked No. 2, with 8.4% share in China in 1H26, following the No. 1 BYD. For PEV drive market share, it ranked No. 3 with 7.5% share in 1H26. Management expects its EV component business to gradually recover starting from 2027, thanks to: (1) smoother pass-through of upstream cost pressure; (2) its expansion to overseas auto original equipment manufacturers (OEM); and (3) sales contribution from new products including smart chassis.

Exhibit 6: Top-10 electric drive suppliers in 1H26
Inovance ranked No. 3 with market share of 7.5% in electric drive

Rank	Electric drive supplier	Installed volume (k unit)	Market share
1	BYD (FinDreams Powertrain)	640.5	15.5%
2	NIO	328.9	8.0%
3	Inovance	311.3	7.5%
4	Tesla	281.8	6.8%
5	Huawei	262.0	6.3%
6	InfiMotion	253.4	6.1%
7	Leapmotor	245.6	5.9%
8	Saike Tech	185.7	4.5%
9	SAIC	180.3	4.4%
10	GLB	175.2	4.2%

Source: NE century. k = thousand

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Exhibit 7: Top-10 electric controller suppliers in 1H26
Inovance ranked No. 2 with share of 8.4% in electric controller

	Electric controller supplier	Installed volume (k unit)	Market share
1	BYD (FinDreams Powertrain)	1109.4	19.5%
2	Inovance	477.4	8.4%
3	InfiMotion	364.0	6.4%
4	Huawei	342.1	6.0%
5	NIO	328.9	5.8%
6	Tesla	281.8	5.0%
7	CRRC	273.3	4.8%
8	Leapmotor	246.7	4.3%
9	Leadrive	203.8	3.6%
10	UAES	201.7	3.5%

Source: NE century. k = thousand

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Earnings review and revisions

Exhibit 8: 2Q26 results comparison
2Q26 net income was up 9% YoY

RMB mn	2Q26 (A)	2Q26 (F)	Diff (%)	YoY	QoQ	1Q26	4Q25	3Q25	2Q25	1Q25	4Q24	3Q24	2Q24	1Q24
Revenue	14,532	13,502	7.6%	26.0%	43.3%	10,143	13,442	11,153	11,531	8,978	11,644	9,214	9,691	6,492
COGS	10,143	9,514	6.6%	25.0%	41.0%	7,194	9,650	8,085	8,114	6,196	8,702	6,565	6,846	4,296
Gross profit	4,389	3,989	10.0%	28.4%	48.8%	2,949	3,793	3,068	3,418	2,782	2,941	2,649	2,845	2,197
Operating exp	2,247	2,220	1.2%	16.7%	21.4%	1,851	2,394	1,896	1,926	1,674	1,806	1,554	1,499	1,541
Operating income (clean EBIT)	2,143	1,769	21.1%	43.6%	95.2%	1,098	1,399	1,172	1,492	1,108	1,135	1,095	1,345	656
Pretax Income	1,980	1,874	5.7%	11.2%	85.0%	1,070	974	1,267	1,781	1,411	956	1,396	1,436	821
Net Income	1,778	1,743	2.0%	7.0%	73.8%	1,023	855	1,312	1,662	1,343	931	1,267	1,324	823
Net Income attribute to shareholder	1,796	1,723	4.3%	9.1%	77.3%	1,013	796	1,285	1,646	1,323	932	1,236	1,307	811
EPS	0.66	0.64	4.3%	9.1%	77.3%	0.37	0.29	0.47	0.61	0.49	0.35	0.46	0.49	0.30
GM	30.2%	29.5%				29.1%	28.2%	27.5%	29.6%	31.0%	25.3%	28.7%	29.4%	33.8%
Op. margin (clean EBIT)	14.7%	13.1%				10.8%	10.4%	10.5%	12.9%	12.3%	9.7%	11.9%	13.9%	10.1%
NM	12.2%	12.9%				10.1%	6.4%	11.8%	14.4%	15.0%	8.0%	13.8%	13.7%	12.7%
OPEX to sales	15.5%	16.4%				18.3%	17.8%	17.0%	16.7%	18.6%	15.5%	16.9%	15.5%	23.7%

Source: BofA Global Research estimates, company report

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Exhibit 9: New vs. old estimates
We raise our 2026/27/28E earnings by 2%/4%/2%

	2026F			2027F			2028F		
RMB mn	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Consolidated sales	52,134	53,028	1.7%	60,361	61,567	2.0%	69,943	71,471	2.2%
General automation & digitalization	26,046	28,269	8.5%	30,101	32,807	9.0%	34,780	37,964	9.2%
NEV drive system	22,770	21,193	-6.9%	26,185	24,372	-6.9%	30,113	28,028	-6.9%
Robotics & digital energy	2,467	2,798	13.4%	3,181	3,582	12.6%	4,112	4,633	12.7%
Others	851	768	-9.8%	893	806	-9.8%	938	846	-9.8%
Gross Profit	15,412	15,875	3.0%	17,769	18,581	4.6%	20,764	21,568	3.9%
Operating Profit	6,480	6,855	5.8%	7,663	8,233	7.4%	9,270	9,753	5.2%
Pretax income	6,448	6,723	4.3%	7,613	7,997	5.0%	9,239	9,606	4.0%
Net Income	5,953	6,084	2.2%	6,963	7,205	3.5%	8,448	8,611	1.9%
Net Income attribute to shareholder	5,884	6,003	2.0%	6,858	7,100	3.5%	8,313	8,451	1.7%
EPS	2.17	2.22	2.0%	2.53	2.62	3.5%	3.07	3.12	1.6%
Key ratios (%)									
Sales growth	15.6%	17.6%		15.8%	16.1%		15.9%	16.1%	
EPS growth	16.5%	18.8%		16.6%	18.3%		21.2%	19.0%	
Gross margin	29.6%	29.9%		29.4%	30.2%		29.7%	30.2%	
Operating margin	12.4%	12.9%		12.7%	13.4%		13.3%	13.6%	
Net margin	11.4%	11.5%		11.5%	11.7%		12.1%	12.0%	

Source: BofA Global Research estimates

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Exhibit 10: P&L summary (quarterly)
We expect 19% YoY earnings growth in 2026

(RMB mn)	1Q25	2Q25	3Q25	4Q25	FY '25	1Q26	2Q26	3Q26	4Q26	FYE '26
Revenue	8,978	11,531	11,153	13,442	45,105	10,143	14,532	13,043	15,309	53,028
Cost of goods sold	6,196	8,114	8,085	9,650	32,045	7,194	10,143	9,151	10,666	37,153
Gross profit	2,782	3,418	3,068	3,793	13,060	2,949	4,389	3,893	4,643	15,875
Promotion	326	348	372	489	1,536	315	408	430	551	1,704
G&A	402	428	432	563	1,825	465	534	509	643	2,151
R&D	890	1,076	1,028	1,262	4,256	1,007	1,219	1,200	1,424	4,850
Operating taxes and surcharges	56	74	64	79	273	64	86	75	90	315
Operating expenses	1,674	1,926	1,896	2,394	7,889	1,851	2,247	2,214	2,708	9,020
Operating income	1,108	1,492	1,172	1,399	5,171	1,098	2,143	1,679	1,935	6,855
Pretax income	1,411	1,781	1,267	974	5,433	1,070	1,980	1,761	1,912	6,723
Taxes or tax credit	68	119	-45	119	261	48	202	141	249	639
Profit before minority	1,343	1,662	1,312	855	5,173	1,023	1,778	1,620	1,663	6,084
Minority interest	21	16	27	59	123	9	-19	30	60	81
Net income	1,323	1,646	1,285	796	5,050	1,013	1,796	1,590	1,603	6,003
EPS (RMB)	0.49	0.61	0.47	0.29	1.87	0.37	0.66	0.59	0.59	2.22
Number of shares (mn)	2,707	2,707	2,707	2,707	2,707	2,708	2,708	2,708	2,708	2,708
Operating Ratios										
Gross margins	31.0%	29.6%	27.5%	28.2%	29.0%	29.1%	30.2%	29.8%	30.3%	29.9%
Promotion	3.6%	3.0%	3.3%	3.6%	3.4%	3.1%	2.8%	3.3%	3.6%	3.2%
G&A	4.5%	3.7%	3.9%	4.2%	4.0%	4.6%	3.7%	3.9%	4.2%	4.1%
R&D	9.9%	9.3%	9.2%	9.4%	9.4%	9.9%	8.4%	9.2%	9.3%	9.1%
Operating margin	12.3%	12.9%	10.5%	10.4%	11.5%	10.8%	14.7%	12.9%	12.6%	12.9%
Pre-tax margin	15.7%	15.4%	11.4%	7.2%	12.0%	10.6%	13.6%	13.5%	12.5%	12.7%
Tax rate	4.8%	6.7%	-3.5%	12.2%	4.8%	4.4%	10.2%	8.0%	13.0%	9.5%
Net margin	15.0%	14.4%	11.8%	6.4%	11.5%	10.1%	12.2%	12.4%	10.9%	11.5%
YoY %										
Net revenues	38.3%	19.0%	21.0%	15.4%	21.8%	13.0%	26.0%	16.9%	13.9%	17.6%
Gross profit	26.6%	20.1%	15.8%	28.9%	22.8%	6.0%	28.4%	26.9%	22.4%	21.6%
Operating income	68.8%	10.9%	7.0%	23.2%	22.2%	-0.9%	43.6%	43.3%	38.4%	32.6%
Net income	63.1%	25.9%	4.0%	-14.6%	17.8%	-23.4%	9.1%	23.7%	101.4%	18.9%
EPS	62.2%	25.3%	3.5%	-15.0%	17.2%	-23.4%	9.1%	23.7%	101.4%	18.8%
QoQ %										
Net revenues	-22.9%	28.4%	-3.3%	20.5%		-24.5%	43.3%	-10.2%	17.4%	
Gross profit	-5.4%	22.9%	-10.2%	23.6%		-22.2%	48.8%	-11.3%	19.3%	
Operating income	-2.4%	34.7%	-21.5%	19.4%		-21.5%	95.2%	-21.6%	15.2%	
Net income	42.0%	24.4%	-21.9%	-38.1%		27.3%	77.3%	-11.5%	0.8%	
EPS	41.2%	24.4%	-21.9%	-38.1%		27.3%	77.3%	-11.5%	0.8%	

Source: BofA Global Research estimates, company report

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Valuation

We derive our new PO of RMB85 (was RMB91) from the average of DCF and P/E valuation methodologies.

(1) **DCF-based fair value:** a fair value of RMB85.0 (was RMB95.0) is derived from our DCF calculation, with assumptions of 3% free-cash flow (FCF) perpetuity growth rate (unchanged), and 12.6% weighted average cost of capital/WACC (was 12.7%, updated with its latest capital structure). The value is lower as we assume higher working capital requirements in the near term amid the FA upcycle and upstream cost pressure.

(2) **P/E-based fair value:** we assign a target P/E multiple of 35x (was 40x) to its 2H26 and 1H27E EPS (rolled over from 2026E) and derive a fair value of RMB86.0 (was RMB86.9). Our target multiple of 35x is based on updated historical average (previous target multiple was 40x, 1S.D above historical average). Our target multiple is lowered, as we see pressures of its near-term earnings growth due to the weak EV market.

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Exhibit 11: Valuation summary
Our PO is RMB85

Valuation methodology	Implied value (RMB)	Upside Potential	Parameters
Methodology 1			
DCF	85.0		WACC of 12.6%
Methodology 2			
P/E multiple	86.0		35 x
PO	85.0	37.0%	

Source: BofA Global Research estimates

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Price objective basis & risk

Inovance Technology (XMYRF)

Our PO of RMB85 is derived from a blend (50/50 split) of DCF and P/E valuation methodologies. DCF is a suitable valuation methodology as it not only reflects Inovance's sustained earnings growth but also captures its cash-flow management capabilities, including working capital and capex. We also see P/E as an appropriate metric as it captures the sustained earnings growth that we estimate the firm will achieve.

(1) DCF methodology: A fair value of RMB85.0 is derived from our DCF calculation, with assumptions of 3% FCF perpetuity growth rate and WACC of 12.6%.

(2) P/E methodology: We derive our P/E-based valuation of RMB86.0 by applying a target P/E of 35x on 2H26-1H27E EPS. Our target multiple of 35x is in line with its historical average.

Downside risks to our PO are (1) further average selling price (ASP) cut from major client in new energy business, (2) softer-than-expected property market which could impact Inovance's elevator inverter/control system businesses, (3) slower traction in new product developments which could result in weaker-than-expected growth momentum, (4) legacy products such as general inverters and servo facing increased price competition which could bring downside risk to our margin forecasts, and 5) milder-than-expected supportive policies from central government.

Analyst Certification

I, Ming Hsun Lee, CFA, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aboitiz Equity Ventures, Inc.	ABOIF	AEV PM	Julian Roxas
	AirTAC	ATCXF	1590 TT	Ming Hsun Lee, CFA
	Anhui Yingliu	XANHF	603308 CH	Fiona Liang
	Ayala Corporation	AYYLF	AC PM	Russ Toribio
	Centre Testing International	XCTEF	300012 CH	Yikai Liu, CFA
	Daifuku	DAIUF	6383 JP	Kenjin Hotta
	Daikin Industries	DKILF	6367 JP	Kenjin Hotta
	Daikin Industries	DKILY	DKILY US	Kenjin Hotta
	Envicool	XPTIF	002837 CH	Yibing Xia
	GeekPlus	BGTCF	2590 HK	Summer Wang, CFA
	Goldwind	XJNGF	2208 HK	Gary Tsang
	GTCAP	GTHOF	GTCAP PM	Russ Toribio
	Guangdong Songfa	XDZGF	603268 CH	Amy Han
	Hainan Jinpan	XKZNF	688676 CH	Matty Zhao
	Hangcha Group	XXCLF	603298 CH	Summer Wang, CFA
	Hangzhou Great Star	XNZLF	002444 CH	Fiona Liang
	Hankuk Carbon	HKUCF	017960 KS	KJ Hwang
	Han's Laser	XHQTF	002008 CH	Summer Wang, CFA
	Hanwha Aerospace	SSASF	012450 KS	KJ Hwang
	HD Hyundai Electric	XPELF	267260 KS	Sun Jung Lee
	HD Hyundai Heavy Industries	XHZXF	329180 KS	KJ Hwang
	Himile	XMSVF	002595 CH	Fiona Liang
	Hiwin Technologies	HITEF	2049 TT	Ming Hsun Lee, CFA
	Huaming Equipment	XKTIF	002270 CH	Matty Zhao
	IHI	IHICF	7013 JP	Kenjin Hotta
	Inovance Technology	XMYRF	300124 CH	Ming Hsun Lee, CFA

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APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Jiangsu Hengli Hydraulic Co., Ltd	XHDCF	601100 CH	Ming Hsun Lee, CFA
	Kawasaki Heavy Industries	KWHIF	7012 JP	Kenjin Hotta
	Keyence	KYCCF	6861 JP	Kenjin Hotta
	Korea Aerospace	XAQHF	047810 KS	KJ Hwang
	LIG Defense & Aerospace	XLQUF	079550 KS	KJ Hwang
	LS Electric	LGXSF	010120 KS	Sun Jung Lee
	Makita	MKEWF	6586 JP	Kenjin Hotta
	Mingyang Smart Energy	XLARF	601615 CH	Charlotte Xia
	Mitsubishi Heavy Industries	MHVYF	7011 JP	Kenjin Hotta
	Mitsui E&S	MIESF	7003 JP	Yuri Nishizaki
	MNC Solution	XZXRF	484870 KS	Dongho Shin
	Nabtesco	NCTKF	6268 JP	Kenjin Hotta
	Namura Shipbuilding	NMRSF	7014 JP	Yuri Nishizaki
	NARI Technology	XLODF	600406 CH	Matty Zhao
	OMRON Corporation	OMRNF	6645 JP	Kenjin Hotta
	OMRON Corporation	OMRNY	OMRNY US	Kenjin Hotta
	RoboTechnik	XYICF	300757 CH	Matty Zhao
	Samsung Heavy Industries	SMSHF	010140 KS	KJ Hwang
	Sany Heavy Industry Co., Ltd	SHVYF	600031 CH	Ming Hsun Lee, CFA
	Sany Heavy Industry Co., Ltd	XHEVF	6031 HK	Ming Hsun Lee, CFA
	Sany International	SNYYF	631 HK	Summer Wang, CFA
	SATS Limited	SPASF	SATS SP	Nathan Gee, CFA
	Shenling	XSRLF	301018 CH	Yibing Xia
	Shenzhen Megmeet	XMXLF	002851 CH	Yikai Liu, CFA
	Sieyuan Electric	XUJKF	002028 CH	Matty Zhao
	Sinexcel	XSBEF	300693 CH	Summer Wang, CFA
	Sinotruk Hong Kong Ltd	SHKLF	3808 HK	Fiona Liang
	SM Investments Corporation	SVTMF	SM PM	Russ Toribio
	SMC	SMECF	6273 JP	Kenjin Hotta
	SMC	SMCAY	SMCAY US	Kenjin Hotta
	ST Engineering	SGGKF	STE SP	Jessie Lo
	Suzhou Maxwell Technologies	XSMTF	300751 CH	Gary Tsang
	TGOOD	XQGDF	300001 CH	Yikai Liu, CFA
	THK	THKLF	6481 JP	Kenjin Hotta
	UBTECH	UBTRF	9880 HK	Ming Hsun Lee, CFA
	Weichai Power Co. Ltd	WEICF	2338 HK	Fiona Liang
	Weichai Power Co. Ltd	XWPEF	000338 CH	Fiona Liang
	XCMG Construction Machinery Co Ltd	XVPZF	000425 CH	Ming Hsun Lee, CFA
	XJ Electric	XJECF	000400 CH	Matty Zhao
	Yangzijiang Shipbuilding	YSHLF	YZJSGD SP	Amy Han
	Yaskawa Electric	YASKF	6506 JP	Kenjin Hotta
	Yuchai International	CYD	CYD US	Fiona Liang
	Zhejiang Supcon Technology	XDXFF	688777 CH	Yikai Liu, CFA
	Zoomlion Heavy Industry	XLRYF	000157 CH	Ming Hsun Lee, CFA
	Zoomlion Heavy Industry	ZLIOF	1157 HK	Ming Hsun Lee, CFA
NEUTRAL				
	Anhui Heli	AHUHF	600761 CH	Summer Wang, CFA
	D&L Industries, Inc.	DALQF	DNL PM	Philip Albert Felix
	Dongguan Yiheda Automation	XDXGF	301029 CH	Yikai Liu, CFA
	Fanuc	FANUF	6954 JP	Kenjin Hotta
	Fanuc	FANUY	FANUY US	Kenjin Hotta
	Kubota Corp	KUBTF	6326 JP	Kenjin Hotta
	Kubota Corp	KUBTY	KUBTY US	Kenjin Hotta
	Neway Valve	XNNVF	603699 CH	Summer Wang, CFA
	Zhuzhou CRRC Times Electric	ZHUZF	3898 HK	Yikai Liu, CFA
	Zhuzhou CRRC Times Electric	XWCTF	688187 CH	Yikai Liu, CFA
UNDERPERFORM				
	Alliance Global Group, Inc.	ALGGF	AGI PM	Russ Toribio
	CKD	CKDOF	6407 JP	Kenjin Hotta
	ESTUN Automation	XNJNF	002747 CH	Ming Hsun Lee, CFA
	ESTUN Automation	XZMTF	2715 HK	Ming Hsun Lee, CFA
	Goldwind	XJGWF	002202 CH	Gary Tsang
	Hitachi CM	HTCMF	6305 JP	Kenjin Hotta
	Hongfa Technology	XQXAF	600885 CH	Fiona Liang

APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Komatsu	KMTUF	6301 JP	Kenjin Hotta
	Komatsu	KMTUY	KMTUY US	Kenjin Hotta
	L.K. Technology	XBQXF	558 HK	Joey Yang, CFA
	Leader Harmonious Drive Systems	XLHNF	688017 CH	Yikai Liu, CFA
	LT Group, Inc.	LTGIF	LTG PM	Philip Albert Felix
	OPT Machine Vision	XOTVF	688686 CH	Yikai Liu, CFA
	SCG Packaging PCL	XAFLF	SCGP TB	Komsun Suksumrun
	Shanghai Bochu Electronic	XWUTF	688188 CH	Fiona Liang
	Shenzhen SC New Energy	XENYF	300724 CH	Yikai Liu, CFA
	SK Bend	SUKWF	014620 KS	KJ Hwang

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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Disclosures

Important Disclosures

Inovance (XMYRF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Electrical Equipment Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	18	66.67%	Buy	10	55.56%
Hold	3	11.11%	Hold	2	66.67%
Sell	6	22.22%	Sell	1	16.67%

Equity Investment Rating Distribution: Electronics Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	34	55.74%	Buy	16	47.06%
Hold	10	16.39%	Hold	3	30.00%
Sell	17	27.87%	Sell	6	35.29%

Equity Investment Rating Distribution: Industrials/Multi-Industry Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	68	62.39%	Buy	36	52.94%
Hold	15	13.76%	Hold	7	46.67%
Sell	26	23.85%	Sell	12	46.15%

Equity Investment Rating Distribution: Machinery/Diversified Manufacturing Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	39	59.09%	Buy	18	46.15%
Hold	12	18.18%	Hold	9	75.00%
Sell	15	22.73%	Sell	9	60.00%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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